

SKEMA SYLLABUS

MONEY, BANKING AND FINANCIAL MARKETS - Dhafer SAIDANE

MONEY, BANKING AND FINANCIAL MARKETS - Dhafer SAIDANE (104632202260SM1)

FALL
2026/2027

Course leader
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Course identification

Intake	FALL
Academic year	2026/2027
Discipline	Finance
Teaching language(s)	English
Course type	Mandatory
Teaching modality	Présentiel

Course description

Over the last years, Money, Banking and Financial Markets have been in turmoil. Some of its high-profile losses have led to questioning the business model and investment banking as a whole. The introduction of Central Bank Digital Currency is on the cards.

This is an interactive program on Money, Banking and Financial Markets looks at the merits, and downsides. It provides a bird's eye view on how banks operate in Capital Markets, Money Markets and Foreign Exchange and their derivatives. Finally, we focus on Futures and Options.

By participating you will understand the role of money to determine cash flows, how banks think, what makes them tick and how they see themselves as allocators of capital, problem solvers and risk managers through financial markets. You will recognise how they meet the needs of investors and borrowers. The section on smart money demonstrates how they anticipated the flow of capital and hence how they make money and generate wealth.

At the end, you will have the necessary building blocks to understand the different approaches leaving you with a comprehensive overview. You will also understand the spirit of trading and investment banking.

Pedagogical objectives

1. Explain money and its purpose.
2. Distinguish between money and capital markets.
3. List different ways of corporate funding.
4. Describe the functioning of the banking system.
5. Compare primary and secondary markets.
6. Describe the main risks contained in interest rates.
7. Explain the workings of a central bank.
8. List the segments and products of the financial markets.
9. Describe the importance of allocation of capital through different asset classes.
10. Understand how investment banks
 - a. Identify the needs of their clients.
 - b. Solve problems of their clients.
 - c. Create higher returns.
 - d. Manage risk.
 - e. Create desired risk profiles.
 - f. Make money for themselves.
11. Describe the main regulatory requirements of banks.
12. Draw the cashflows of different financial market instruments.
13. Understanding the building blocks of futures and options.
14. Price options using a binomial model.
15. List important macroeconomic indicators.
16. Explain how financial markets are integrated.

Prerequisites

None. It helps to bring an open mind and a note-making device (paper and pens, tablet, laptop) with at least four colours. As a minimum, a scientific calculator is required. A financial calculator such as the HP 17Bii, the TI BA II Plus or an equivalent app are preferred. For the exam, only the physical calculator Texas Instruments TI BA II (Plus) is allowed, not the app. It is the same calculator as for the CFA.

Course plan

Money: • Definition • Purpose • Players • Creation • Money supply Macroeconomic indicators: • Demographics • Purchasing Power Parity • Inflation • GDP • Jobs • Commodities • Other An overview on financial markets: • The Importance of cash flows as the underlying principle of any financial instrument • Money markets versus capital markets Banking: • The balance sheet of a bank • Types of banks • Business models Loans - The macroeconomic allocation of capital: • The structure of an investment bank • The players in investment banking and corporate finance • The role of banks as intermediaries between borrowers and investors • The interplay between origination, sales and trading • Primary and secondary markets • Syndication of new issues • Asset classes Capital markets instruments: • Equity financing • Loan financing • Securitisation • Debt financing Bond markets: • Domestic versus international bond markets (Eurobonds) • Issuing procedures • Terminology in the US primary market (WI, On-the-run, off-the-run) • The fundamentals of bond pricing In search for higher returns: Asset securitisation • Collateralised Mortgage Obligations (CMO) • Credit Card Receivables (CCR) • Credit-linked Notes (CLN) • Subprime, contagion and the global financial crisis Banking regulation: • Liquidity reserve requirements • Deposit insurance guarantee • Know your customer (KYC), FATCA and exchange of information • Consumer protection • Anti-money laundering regulations • Restrictions on activities • Basel framework (capital and liquidity requirements • Source for new product development Time value of money: • Value of money over time • Reasons for the change of value of money over time • A definition of interest rates Financial arithmetic: • Money market formulas (Simple interest) • Capital market formulas (Compound interest) Development of money markets: • The history of money markets • The role of the central bank as lender of last resort • Implementation of economic policy, rate setting and quantitative easing Money market instruments: • Discounted versus interest-bearing instruments • Forward interest rates • Repurchase agreements (Repo's) Forex: • Spot FX: • Forward FX: • FX Swaps Background to futures and options: • The history of futures options • The two-arrive contract • The CBoT and CME • Margining and gearing • Internationalisation • Digitalisation • From clearing house to centralised counterparties (CCP) Futures: • Commodity futures • Bond futures • Equity futures • Interest rate futures • Currency future Options: • Long call • Short call • Long put • Short put The Spot, Forward and Option arbitrage triangle: • Cost of carry • Gross basis, carry and value basis • Put-call parity • Volatility Option strategies: • Straddles • Bull and bear spreads • Strangles • Butterflies Dynamic option trading: • The volatility and direction matrix • Adjusting an existing position to a change in market view Hedging a futures position with options: • Covered calls • Covered puts Put-call parity: • Creating synthetic futures • Arbitrage possibilities • Approximation of futures prices Option pricing • Manual pricing of an option using a binomial model • Expanding to standard distribution (Black-Scholes model) • Main pricing determinants Greeks – the main risk factors • Delta • Gamma • Theta and the time decay of the option price • Vega and the volatility smile • Rho Option based structured products • Capital protection products • Leverage products • Participation products • Structured deposits (yield enhancement) Course summary: • Putting financial instruments into context

Schedule

Session 1 – Full cohort

Introduction:

- Setting the frame
- Session outline
- Introductions
- Expectations

Money:

- Definition

- Purpose
- Players
- Creation
- Money supply

An overview on financial markets:

- The Importance of cash flows as the underlying principle of any financial instrument
- Money markets versus capital markets

The business model: The macroeconomic allocation of capital

- The structure of an investment bank
- The players in investment banking and corporate finance
- The role of banks as intermediaries between borrowers and investors
- The interplay between origination, sales and trading
- Primary and secondary markets
- Syndication of new issues
- Asset classes

Session 2 – in groups

The balance sheet of a bank:

- Assets, liabilities and capital

Banking regulation:

- Deposit insurance guarantee
- Basel Framework
 - o Capital adequacy requirements (CAR)
 - o Liquidity reserve requirements
- Know your customer (KYC), FATCA, MIFID-2 and automated exchange of information
- Anti-money laundering regulations
- Consumer protection
- Restrictions on activities, sanctions

Time value of money:

- Value of money over time
- Reasons for the change of value of money over time
- A definition of interest rates

Financial arithmetic:

- Money market formulas (Simple interest)
- Capital market formulas (Compound interest)
- Market conventions

Session 3 – in groups

Money market instruments:

- Discounted versus interest-bearing instruments
- Forward interest rates
- Repurchase agreements (Repo's)

Capital markets instruments:

- Equity financing
- Loan financing

- Securitisation
- Debt financing

Asset securitisation

- Collateralised Mortgage Obligations (CMO)
- Subprime, contagion and the global financial crisis

Bond markets:

- Domestic versus international bond markets (Eurobonds)
- Issuing procedures
- Terminology in the US primary market (WI, On-the-run, off-the-run)

Session 4 – in groups

The fundamentals of bond pricing:

- Annual bond pricing
- Accrued Interest

Bond risk:

- Duration
- Convexity

Session 5 – in groups

Background to futures and options:

- The history of futures options
- The two-arrive contract
- The CBoT and CME
- Margining and gearing
- Digitalisation
- From clearing house to centralised counterparties (CCP)

Futures Pricing (Cash and carry):

- Commodity futures
- Carry basis (cost-benefit)

Options:

- Long call
- Short call
- Long put
- Short put

Option pricing

- Manual pricing of an option using a binomial model
- Expanding to standard distribution (Black-Scholes model)
- Main pricing determinants

Greeks – the main risk factors

- Theta and the time decay of the option price

Session 6 – in groups

Option strategies:

- Straddles
- Bull and bear spreads
- Strangles
- Butterflies
- (Condor)

Put-call parity:

- Creating synthetic futures
- Arbitrage possibilities

The Spot, Forward and Option arbitrage triangle:

- Cost of carry
- Put-call parity
- Volatility

Dynamic option trading:

- The volatility and direction matrix
- Adjusting an existing position to a change in market view

Repurchase agreements (Repo):

- Sell-Buy back
- Classic repo
- Securities lending

Session 7 – full cohort

Revision:

- The past 6 sessions

Option based structured products:

- Capital protection products

Macroeconomic indicators and what influences markets:

- Demographics
- Purchasing Power Parity
- Inflation
- Central bank rates
- GDP
- Jobs NFPR
- Commodities
- Other

Course summary:

- Bring all products together again

Teaching team

Paris : GEROULANOS Petros

Assessment

Final examination	100 %
Continuous assessment	0 %

Resources

Academic references

You will find the course materials uploaded on K2 a few days before the course starts.

Websites

[ft.com](https://www.ft.com)